

*Hmm.* However, it patted me on the back about picking a stock with a rising relative strength against the S&P 500 index (that is, the stock was outperforming the general market).

Here's my notebook: "Buy reason: congestion breakout with high long-term potential. Risk 25% versus >100% reward. Could be exposed to hurricane losses if any storms brush [the] east coast. Its reinsurance business could get nailed, [caused by] hurricane losses. Placed a market order to buy at the open since the daily swing is all of 70 cents. Big deal. Bid/ask spread suggests an open higher by 3 cents, but we'll see. Futures at +6.50, so mildly higher open."

Nothing really exciting there except for the potential to double my money. All I had to do was hold on long enough for that to happen.

Fast forward to 2018. Along the way, the stock dropped from peak to valley 30%, 25%, and 28%, in that order, but the stock always recovered. This was a buy-and-hold situation, and I was looking to make the big bucks, a doubling of my money.

On March 5, the company announced that it would be taken over by another company. The news upset me. Why? Because I felt they were buying the stock on the cheap. On the weekly chart, this was a cloudbank play, with the base of the cloud at 56 and the top of the cloud at 82. Their offer took me out of the stock at 57.60, below where the stock had once traded (at 82). Recall, my upward target was 69 and they were cashing me out just above my middle target, 56.

I made 198% on the trade, including dividends. I almost tripled my money, but it took 8 years to do it. In terms of dollar profit, this was my second most profitable trade (but well down the list in percentage terms), so I put a lot of cash behind it.

- Lesson: Good things can happen to people who wait.
- Lesson: For a buy-and-hold investment, you have to be able to tolerate large price swings.